Hari Shankar Singhania School of Business

Problem Identification

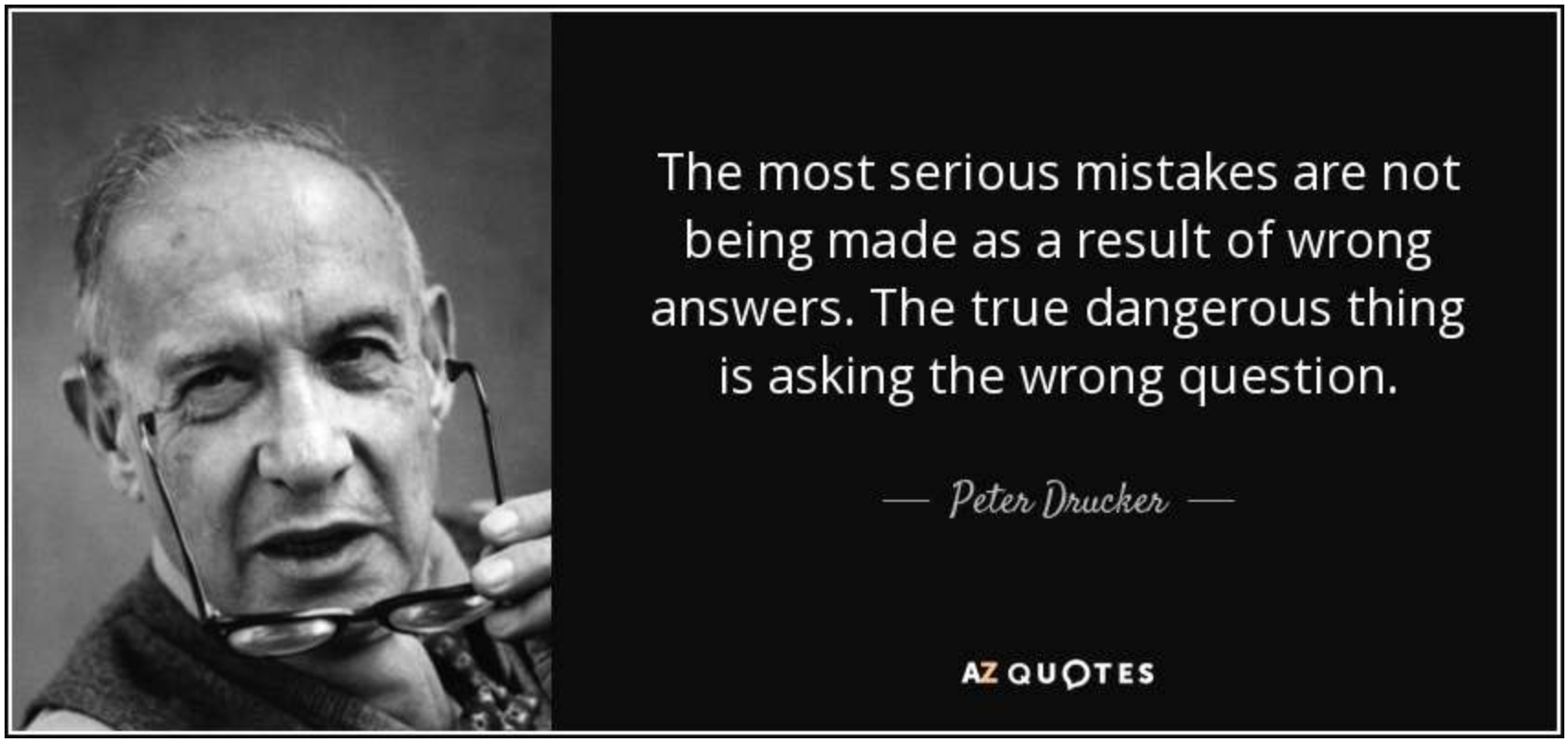
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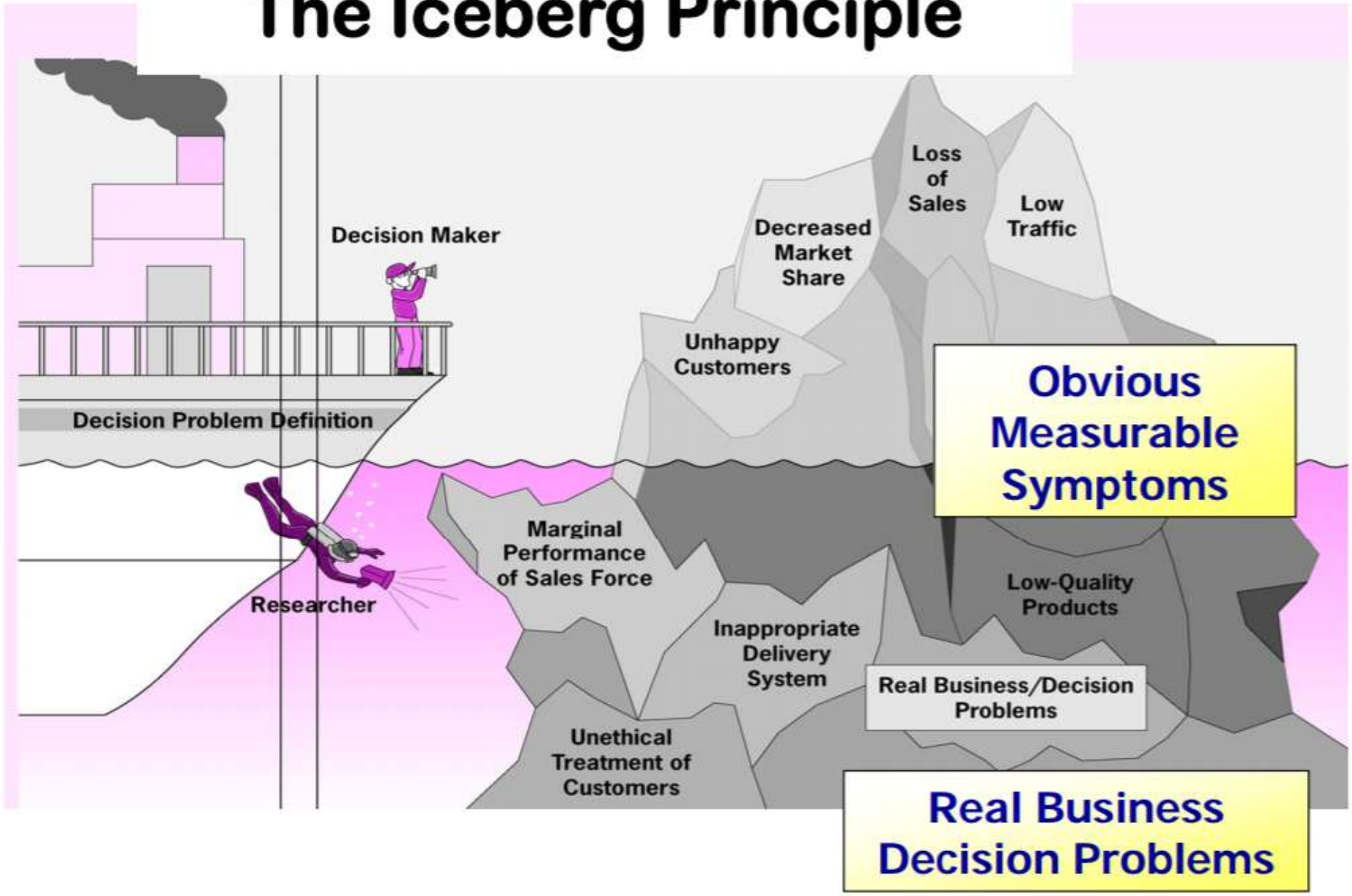
So, what is business research?

- What does the overall process look like?

- Imagine you go to a doctor and say, ‘I have a headache, give me a painkiller.’
  - What does the doctor do?
- Managers, like patients, often self-diagnose


The most serious mistakes are not being made as a result of wrong answers. The true dangerous thing is asking the wrong question.
— Peter Drucker —
AZ QUOTES

The Iceberg Principle



Part 1:

Management Decision Problem [MDP] Vs. Marketing Research Problem [MRP]

Discuss these Situations

1. Our app's ratings have dropped to 3.2 stars – we need to redesign the UI immediately.
2. Sales reps in the western region are underperforming – we need better sales training.
3. Our younger customers aren't buying as much as they used to – we need a social media influencer campaign.
4. Our churn rate is up – we should offer a bigger discount to customers who try to cancel.

- GPS App

Case A: The Re-platformed Website

- Faced with sluggish sales, an online retailer's leadership team commissions a large-scale customer satisfaction survey after a website re-platforming. Survey is professionally designed. Sample is statistically sound. And the analysis is rigorous.
- Findings show satisfaction scores are stable. Leadership is reassured and proceeds with further platform changes.
- Eighteen months later, the company discovers it has been quietly losing market share to a competitor the entire time.
- The original survey never asked about competition or switching intent. The original problem statement was framed narrowly as are our existing customers happy with the new website, not are we losing customers, and if so, to whom and why.
- The research was executed well; it answered a narrower question than the one that actually mattered.

Case B: The Regional Sales Manager's Request

- Anita Kulkarni, Regional Sales Manager at a mid-sized consumer electronics retailer with 40 stores across northern India, walks into the research team's office and says:

  Our Lucknow and Kanpur stores have seen sales drop 18% over the last two quarters. I think our prices are too high compared to the new entrants in those markets.

  I need you to run a quick pricing study so I can get approval to discount our top 10 SKUs by 15% before the festive season.

- She wants the study completed in three weeks and clearly already has the solution – a 15% discount – in mind;
- She is asking the research team to validate it, not to investigate the problem from scratch.

Management Decision Problem *(manager's framing)*	**Hidden assumption inside it**	**Marketing Research Problem** *(researcher's reframing)*
Should we cut the price of our flagship product by 10%?	Assumes price is the lever that matters, and that the only live question is the size of the cut	What factors are driving the recent decline in unit sales, and how sensitive is demand to price relative to other factors (availability, competition, perception)?
Should we launch a loyalty app?	Assumes the underlying issue is retention, and that an app is the right format of solution	What is driving customer attrition, and which interventions (loyalty programs among them) would most effectively address it?
Should we fire our ad agency?	Assumes weak campaign performance is the agency's fault rather than, say, targeting, budget, or product-market fit	What is the actual cause of underperforming campaign results, and to what extent is agency execution – versus targeting, offer, or market conditions – responsible?

Part 2:

The Iceberg Problem – Situation Analysis & Problem Discovery

The Streaming App's Falling Engagement

- A video-streaming start-up notices that average daily watch-time per user has fallen 22% over the past two months.
- CMO's conclusion: our content quality has declined. Decides to immediately commission a large content-preference survey.
- Before agreeing, the research lead conducts a situation analysis.
  - Internal app analytics *(secondary data)* shows the drop is almost entirely concentrated among users on a specific older Android OS version – not spread evenly across the user base, as the CMO assumed.
  - A few calls with the customer support team *(expert interviews)* reveal a spike in complaints about buffering and app crashes roughly matching the timeline of the engagement drop.
- The real issue, *surfaced in days rather than weeks*, is a technical performance regression introduced in a recent app update for older devices – nothing to do with content quality at all.

Tool	When It's the Right Call	What It Costs You	What It Risks If You Skip It
Secondary data review	Always the first move – cheap, fast, and often the data already exists inside the company but nobody has looked at it together	Time to gather and reconcile data from different internal systems; data may be incomplete or inconsistently defined across departments	You commission expensive primary research to answer something a quick query against existing sales data could already have told you

The Pharma Brand's Prescription Decline

- A pharmaceutical company sees prescriptions for one of its branded medications declining in a particular state.
- The brand manager assumes a competitor's recent price cut is the cause.
- Checking public tender and pricing data confirm that the competitor's price did drop but only by an amount. Too small to plausibly explain a decline of this size.
- Expert interviews with the company's own medical sales representatives in that state reveal that a generic equivalent recently received fast-track regulatory approval and entered the market, which the brand manager's team had not been tracking.

ENVIRONMENTAL SCANNING

Tool	When It's the Right Call	What It Costs You	What It Risks If You Skip It
Secondary data review	Always the first move – cheap, fast, and often the data already exists inside the company but nobody has looked at it together	Time to gather and reconcile data from different internal systems; data may be incomplete or inconsistently defined across departments	You commission expensive primary research to answer something a quick query against existing sales data could already have told you
Expert / key-informant interviews	When the puzzle is concentrated in a specific operational layer the manager isn't close to – e.g., store-level or frontline reality	Risk of bias from a small number of informants with their own agendas; not generalizable on its own	You miss operational or ground-level explanations (e.g., stock-outs, frontline complaints) that never reach senior management's view

Tool	When It's the Right Call	What It Costs You	What It Risks If You Skip It
Exploratory consumer research	When the puzzle is in the customer's head – attitudes, perceptions, unspoken switching reasons – not in internal data	More time and cost than secondary data; sample is small and not meant to be statistically representative	You proceed to a large quantitative study without knowing which hypotheses are even worth testing at scale
Environmental / competitive scanning	When the symptom could plausibly be driven by something entirely outside the company's own operations or customers	Time, and the difficulty of getting reliable competitive intelligence	You diagnose an internal cause for what is actually an external shock (a new entrant, a regulatory change, a price war) and design a study that can never find the real answer

Choose Your Situation Analysis Tool

1. A furniture e-commerce site sees cart abandonment rise sharply in the last six weeks, but only on mobile devices.
2. A FMCG company's regional distributor reports that retailers are reluctant to restock a particular SKU, but sell-through data at the retail level looks normal.
3. A B2B software company notices renewal rates falling among customers who joined through one specific referral partner.
4. A fashion retailer's flagship store in one city is underperforming compared to identical stores in other cities, despite similar local demographics.

Part 3:

Translating the Problem into Research Objectives

Criterion	What It Means in Practice	What Happens Downstream If It's Missing
Specific	The objective names a particular variable, relationship, or group – not a general topic area	The research design team cannot decide what to measure; the project drifts into open-ended fishing rather than targeted investigation
Measurable / answerable with evidence	There is, at least in principle, a way to collect data that would answer the objective – even if that data doesn't exist yet	The project produces opinions and discussion rather than evidence; the manager is no better equipped to decide than before the research started
Singular (one idea per objective)	Each objective addresses one question, not several bundled together with and	Mixed objectives produce muddled instruments – e.g., a single survey question trying to capture two different constructs at once – and muddled, hard-to-interpret findings

Criterion	What It Means in Practice	What Happens Downstream If It's Missing
Linked to the MRP, not the MDP	The objective stays in information-gathering language (assess, determine, identify), not action language (recommend, decide, implement)	Objectives written in action language quietly smuggle the manager's pre-assumed solution back in – undoing the work of Concept 1
Bounded / feasible	The objective can realistically be answered within the project's time, budget, and access constraints	An ambitious but infeasible objective either gets quietly dropped later (wasting the planning effort) or forces a rushed, lower-quality data collection effort to chase it

Case B: The Regional Sales Manager's Request

- Anita Kulkarni's dilemma

1. Determine the relative contribution of price, product availability, and competitive intensity to the sales decline in the two cities.
2. Assess customer price sensitivity for the top 10 SKUs relative to customers in comparable cities where sales have not declined.
3. Identify whether new market entrants have changed customers' price expectations specifically, or their overall channel preference (e.g., shifting to online).

None of these objectives says "recommend a discount". They stay in MRP language throughout, even though the eventual research will almost certainly speak to whether a discount makes sense.

The Telecom Operator's Churn Objectives

- Following a situation analysis, a telecom operator's MRP is:
  "what factors are driving the increase in post-paid subscriber churn in urban markets over the last two quarters, and which are most actionable through retention interventions?"
- The marketing analytics team, asked to draft objectives, produces a single sprawling objective:

  "understand churn drivers including network quality, pricing, customer service, competitor offers, and switching costs, and rank them by importance and actionability."
- Objective is directionally correct *(it stays in MRP/ assessment language)*
- But fails the singularity and feasibility criteria by trying to cover five distinct constructs and two distinct analytical tasks inside one sentence.

1. Understand why customers don't like our new pricing and fix it.
2. Look into customer feedback about our service.
3. Assess brand awareness and purchase intent and store satisfaction across our top five markets.
4. Determine the full psychological profile of every customer segment in exhaustive depth.

Part 4:

Common Pitfalls – Solving the Wrong Problem

Pressure-Test Question	What It's Really Checking	What a “No” Answer Signals
If we get a clean answer to this objective, will it actually change what the manager decides to do?	Whether the objective is connected to a real, live decision – or is just interesting information disconnected from action	The research may be answering a question that satisfies curiosity but has no decision attached – a sign Stage 1 stopped at situation analysis without finishing the translation to a decision-linked objective
Have we considered at least two or three plausible alternative explanations for the symptom, not just the manager's first hypothesis?	Whether situation analysis was genuinely exploratory, or just a token check before confirming what was already assumed	A “no” here usually means the team has unconsciously reverted to testing only the manager's original MDP, undoing the discipline of our first concept.

Pressure-Test Question	What It's Really Checking	What a “No” Answer Signals
Does the problem statement avoid presupposing its own solution?	Whether action language has crept back into the MRP or objectives (singularity/ MRP-alignment criteria)	A problem statement that already names the fix is not a research problem – it's a justification exercise dressed up as research
Is the scope of the objectives something we can realistically deliver given the time, budget, and access we actually have?	Feasibility, the last of Concept 3's criteria, re-checked one final time against real-world constraints rather than in the abstract	An infeasible scope typically gets quietly narrowed mid-project without re-confirming with the client – so the final deliverable answers a smaller, different question than the one the client thinks they commissioned

What's Really Going On at Saffron Foods?

The Case

- Saffron Foods is a mid-sized packaged snacks company, known primarily for a popular line of *namkeen* (savoury snack) products sold across North India.
- Six months ago, regional sales data showed that Saffron's flagship product – a spiced potato chip line called ‘Saffron Twist’ – began experiencing a steady decline in sales specifically in the state of Madhya Pradesh, even as sales in neighbouring states remained stable.
- The decline has now reached 19% over six months.
- The CEO has called an emergency meeting and wants the marketing research team in the room.

Facts

- Saffron Twist sales in Madhya Pradesh have declined 19% over six months.
- A competitor, 'Crispy Bite,' launched a near-identical spiced potato chip product in Madhya Pradesh seven months ago, priced about 12% lower than Saffron Twist.
- Saffron's regional sales head says: "It's obvious – Crispy Bite undercut us on price and customers switched. We need to either cut our price or run a heavy discount promotion to win them back."

Based on these facts – what do you think the problem is?
And, more importantly: is this a Management Decision Problem or a Marketing Research Problem as the sales head has framed it?

Additional Facts

- The research team pulls internal distribution data *(secondary data review)* before commissioning anything new.
- The data shows that Saffron Twist's average retail shelf availability in Madhya Pradesh has dropped from being in-stock in 84% of surveyed retail outlets six months ago to just 61% now – a steep decline.
- In the districts where shelf availability has remained high (above 80%), Saffron Twist sales have declined only modestly, by about 4%, despite Crispy Bite being present in those districts too.
- In the districts where shelf availability has fallen most sharply, sales have declined by as much as 30%.

Even more Facts

- The research team conducts quick interviews (expert/key-informant interviews) with eight retailers in low-availability districts.
- Six of the eight retailers report the same specific complaint: Saffron's regional distributor for Madhya Pradesh has been inconsistent with delivery schedules over the past five to six months, sometimes missing scheduled restocking by a week or more.
- Two of the eight retailers mention something different: they've deliberately reduced their shelf space for Saffron Twist because Crispy Bite offers a better trade margin to retailers, not because of consumer demand.
- Separately, a quick internal check (secondary data) shows Saffron's regional distributor for Madhya Pradesh changed five months ago, when the long-standing distributor's contract was not renewed and a new, lower-cost distributor took over.

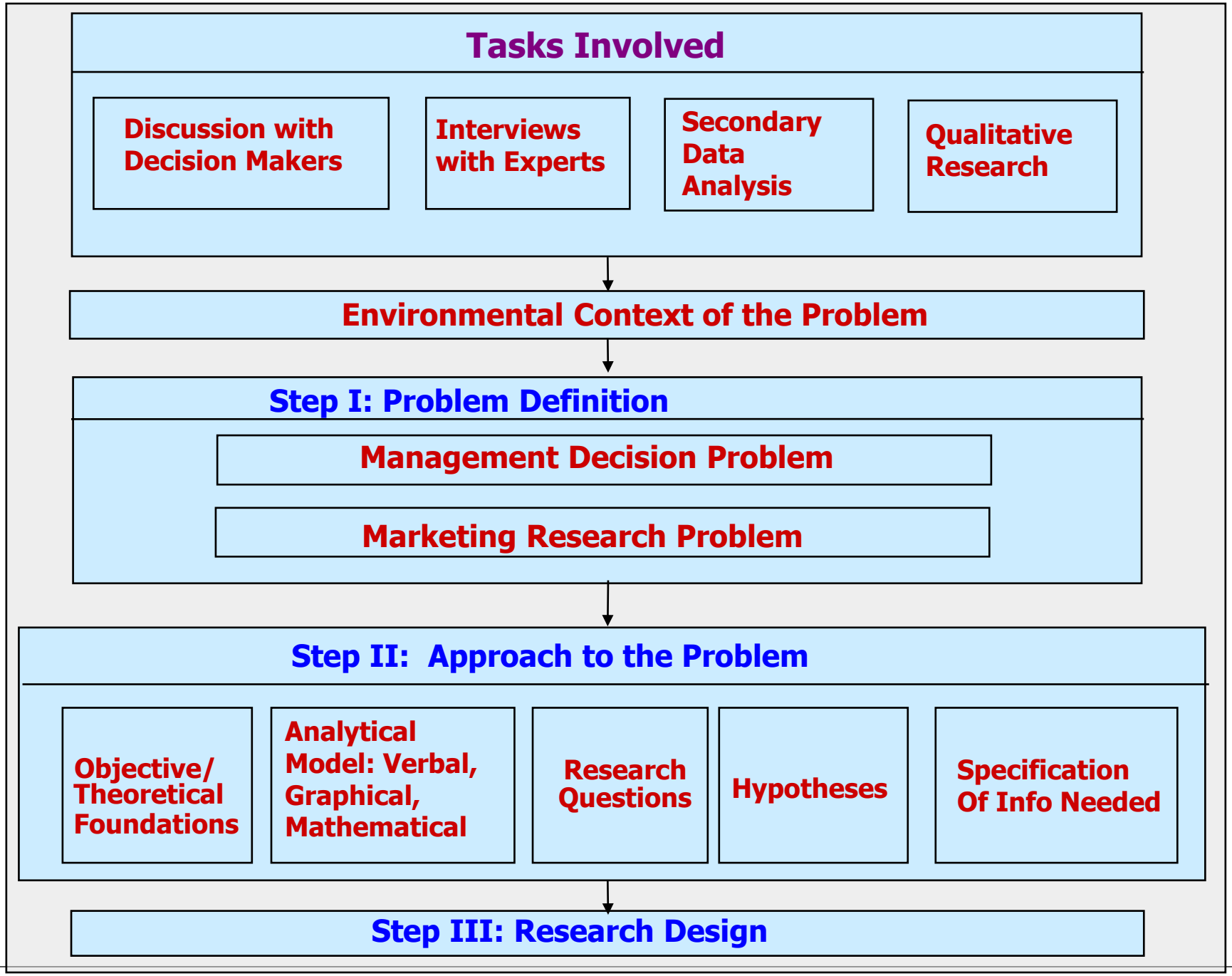
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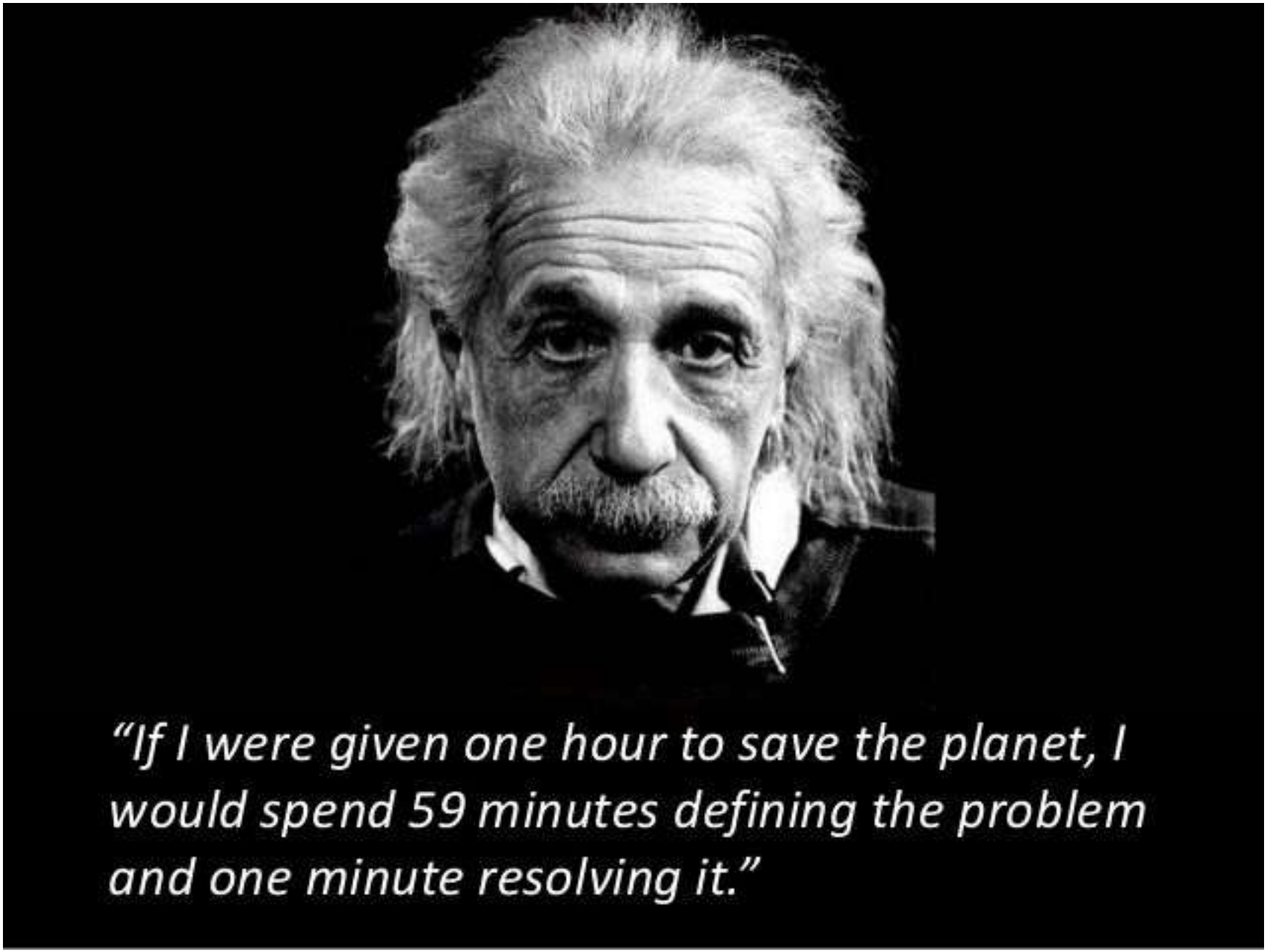
- Research team pulls sales data by retail channel and finds something unexpected: the decline is heavily concentrated in small, independent *kirana* (corner) stores. In modern trade channels – supermarkets and large chain stores in the same districts – Saffron Twist sales have actually held flat or grown slightly over the same six months.
- A closer look at the new distributor's operating model (secondary data plus one follow-up interview with the distributor) reveals the new distributor was selected specifically because it offered lower costs by consolidating delivery routes and servicing modern trade outlets (which order in bulk and are easier to route to) on a priority basis, with *kirana* stores serviced on a secondary, less frequent route.
- This single operational decision – not pricing, not retailer margins, and not even "distributor unreliability" in a general sense – explains both the shelf-availability data from Round 2 (concentrated in certain districts/outlet types) and the retailer complaints from Round 3 (concentrated among *kirana* retailers specifically).

Stages of Business Research Process

Stage	What Happens	Output → Next Stage
Problem Identification	Translate a vague management concern into a precise, researchable problem and set of objectives	A written research problem statement and objectives
Information Areas	Convert the research objectives into specific areas of information	Detailed set of information that need to be collected
Research Design	Decide the overall approach – exploratory, descriptive, or causal – and the logic for answering the objectives	A design blueprint (e.g., cross-sectional survey, experiment, case study)
Sampling Design	Decide who/what will be studied, how many, and how they will be selected	A defined sample frame, size, and selection method
Data Collection	Execute the design – fieldwork, surveys, interviews, observation, or secondary data gathering	Raw data, collected and logged
Data Analysis & Interpretation	Clean, analyze, and make sense of the data relative to the original objectives	Findings and insights tied back to the original problem
Reporting & Presentation	Communicate findings to the decision-maker in a form they can act on	A decision the manager can actually make

The Problem Definition Process




"If I were given one hour to save the planet, I would spend 59 minutes defining the problem and one minute resolving it."

Thank you